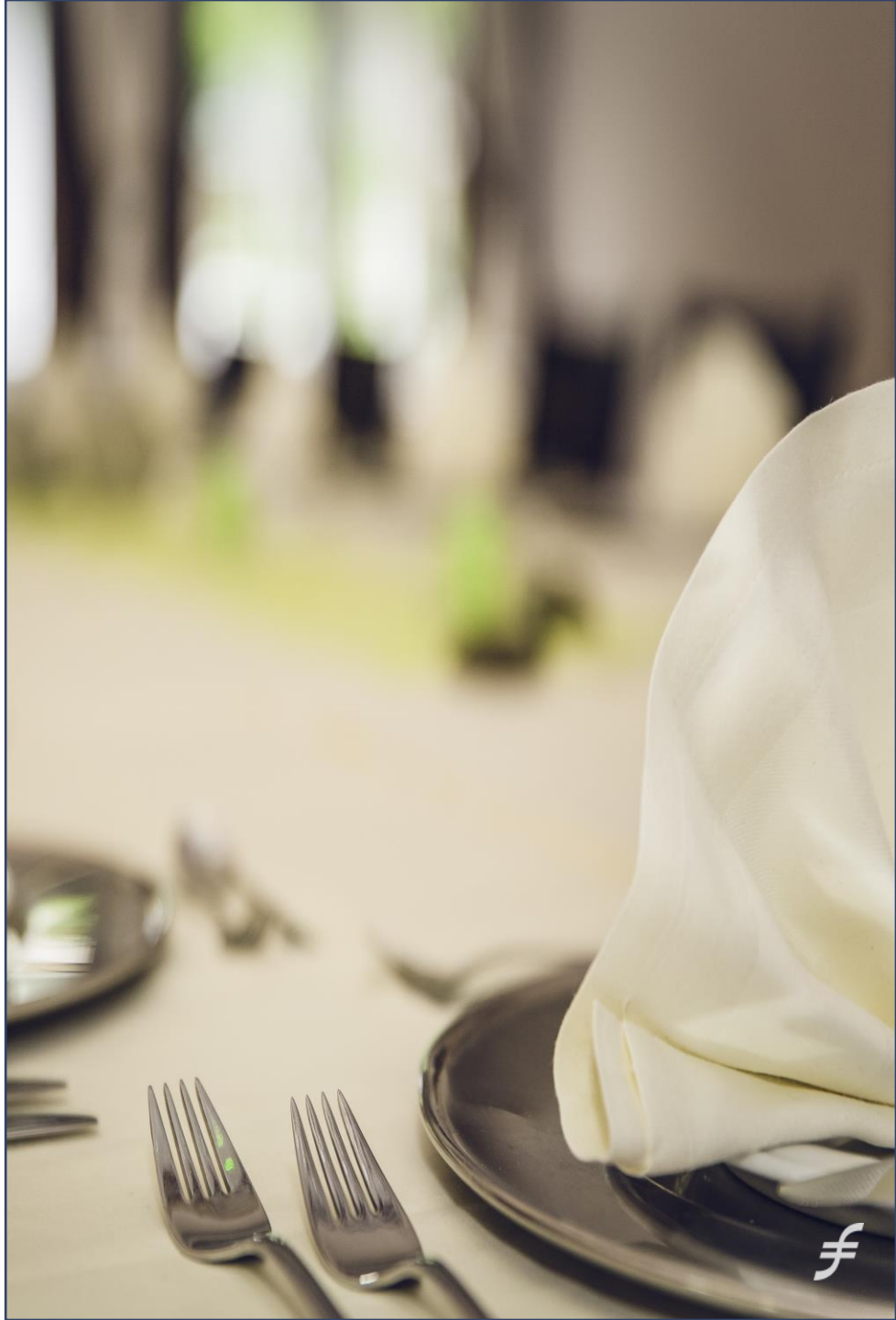
Business Law: EU law and international law

Thomas Weck

WHAT IS ON THE MENUE?

- International law
- European Union (EU) law
  - The horizontal application of fundamental Rights (EU Approach)



INTERNATIONAL LAW

INTERNATIONAL LAW: MAIN FEATURES

- Sources of international law
  - Treaties
  - Customary international law and general principles of law
- Subjects of international law (tradit.): States/int. Organizations
- Binding force
  - Intergovernmental level
    - New treaty - ratification: declaration of confirmation by constitutionally authorized body (Federal President; Art. 59(1) GG) and handing over of an instrument of ratification.
    - Existing treaty: accession.
  - Domestic level through ratification procedure
    - Special rules for transfer of sovereign rights to EU, or international intergovernmental bodies (Art. 23-24 GG)
    - Participation of the Federal President (Art. 59(2) GG; different for administrative agreements)
- Domestic implementation: transformation law for treaties; general rules of international law take precedence over laws, to the extent that they are constitutional (Art. 25 GG)

EUROPEAN UNION LAW

THE EU AND OTHER EUROPEAN ORGANIZATIONS

What is the difference between an association and a confederation of states?

See next slide.

EU Ct. Of Human Rights

Institutions creating and implementing European Law

EU (1992; previously EEC 1957): association of states (*Staatenverbund*) established under international law;

- Provides for market-economy economic structure ("single"/"internal market", Art. 3(3) TEU in conjunction with Prot. 27)
- In contrast, GG is "neutral in terms of economic policy" (BVerfGE 4, 7, 17-18; 50, 290)

Euratom (1957): Basis Euratom Treaty. Member states/institutions like EU.

European Coal and Steel Community (ECSC; 1951-2001)

Institutions implementing international law

European Economic Area (EEA; 1992): extends European Single Market to Iceland, Liechtenstein and Norway. Judicial control by ECJ.

European Free Trade Association (EFTA; 1960) since 1995 includes only Iceland, Liechtenstein, Norway and Switzerland. Judicial control by EFTA Court

Council of Europe (1949): Organization to which parts of EU Member States (Greenland) or states outside the EU also belong (e.g. Russia, Turkey)

- Human Rights Convention (ECHR; 1950) with 14 protocols and rank of a federal law in Germany; EU accession not yet effected (cf. ECJ Opinion 2/13); judicial control by ECtHR (Strasbourg)

THE EU AS A SUPRANATIONAL ORGANIZATION

EU Parliament

The EU as an "association of states "

- Member States are "masters of the treaties”
- But: far-reaching transfer of sovereign rights (Art. 23 GG; originally: Art. 24 GG)
- Between confederation of states (international law) and federal state (constitutional law): binding decisions possible, even if not all members agree

Definition

"Close, permanent association of states which remain sovereign, which exercises public authority on a contractual basis, but whose basic order is subject solely to the disposal of the member states and in which the peoples - i.e. the citizens belonging to the states - of the member states remain the subjects of democratic legitimation.“
(BVerfG, Judgment of June 30, 2009, 2 BvE 2/08 - *Lisbon*, BVerfGE 123, 267)

THE EU AS A SUPRANATIONAL ORGANIZATION

EU Parliament Committee

The understanding in case law is converging

- ECJ: autonomous legal order (arg. Union interest); primacy of application (26/62 - *van Gend & Loos*; 6/64 - *Costa/ENEL*); restrictively now: primacy of the constitutional principle of legality possible (C-42/17 – *MAS and MB*).
- BVerfG
  - Prohibition of transgression of competences of the Union organs vis-à-vis nat'l consent (*ultra vires*) - violation only relevant if "obvious" and of "considerable" weight for the structure of competences (E 126, 286, 304; violation found in: Judgm. of 5 Mai 2020, 2 BvR 859/15 et al.)
  - Preservation of constitutional identity - violation always relevant (BVerfGE 123, 267, 358 ff.)
  - Note: Violations of the constitutional duty to observe EU law are reviewable, i.e., also the denial of the statutory judge (Art. 101(1)(2) GG) due to non-submission to ECJ under Art. 267(3) TFEU

Conflicts remain given binding nature of EU law (primacy of application!) and Member States' duty to respect EU law → in the event of conflicting objectives, the Union interest in Union objectives always trumps Member State interests (but is "ever-closer union" a solution? See Art. 1(2) TEU)

THE EU AND BREXIT

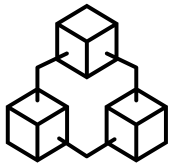
For your information only (will not be tested)

23.06.2016 EU membership referendum in UK
29.03.2017 Declaration of withdrawal pursuant to Art. 50 TEU (+ EURATOM)
17.10.2019 Agreement UK/EU on agreement without backstop
31.01.2020 Withdrawal after three postponements; UK remains in single market/customs union temporarily
01.01.2021 end of transition period

Trade and cooperation agreement + security and EURATOM agreements

- No bilat. import duties and no quantitative restrictions on imports
- Transitional arrangement for 5 years for fisheries
- Regulations on investment, competition, state subsidies, tax transparency, air and road transport, energy and sustainability, data protection and social security coordination
- Hardly any regulations on financial services
- Free movement of persons eliminated; no more participation in Erasmus
- Special arrangement for Gibraltar (Schengen accession); Northern Ireland protocol to avoid N-IRL/IRL controls on goods (but: N-IRL/UK controls, with exceptions)
- Joint Dispute Settlement Partnership Council

Systematic structure of EU law



Treaties (primary law) have dual nature between international and constitutional law

- Protective effect in favor of individuals in case of legal perfection. Prerequisites: Norm (1) does not require concretization (2) is unconditional, (3) contains binding obligation of conduct (= requirement) for member states, and (4) does not require further enforcement measures.
- Relevance diminished by Charter of Fund. Rights and fundamental freedoms

Regulations, directives, decisions and recommendations/opinions (secondary law; Art. 288 TFEU) have priority of application

- Regulations are binding and apply directly to individuals
- Directives are addressed to Member States and require transposition in nat'l law because they are only binding with regard to their objectives (same effect in practice: Reg. with opening clauses)
- Decisions: Individual decisions, also e.g. antitrust fine decisions of EU Commission

Implementing and delegated acts (tertiary law; Art. 290-291 TFEU) similar to German governmental regulations (Art. 80 GG)

General principles of law:

- Rank is determined by content; include esp. rule of law and procedural guarantees.
- Basis: fund'tal rights of the Union/ECHR; constitutional traditions of Member States

Peculiarities of EU law

- **Methodology: interpretation of EU law is partly deviating from national law**
  - Consider different language versions when interpreting wording
  - Systematic interpretation is particularly important
  - History of norms in EU treaties is less important than earlier case law (which is binding: ECJ, Art. 267(1), (3) TFEU)

- **Proportionality test in EU law**
  - EU courts examine existence of a legitimate objective, suitability and necessity, but not overall appropriateness (note also in this respect, however, legitimate objective)

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EU TREATIES (PRIMARY LAW)

Treaty on European Union (TEU; international treaty)

- Includes basic principles on democracy, rule of law, etc. (Art. 1 ff.), institutions (Art. 14-18 TEU), enhanced cooperation (Art. 20 TEU)
- Common Foreign and Security Policy (CFSP; Art. 20-46 TEU; as a policy governed by international law)
- Final provisions (Art. 47-55 TEU) incl. right to withdraw from EU (Art. 50 TEU)

Annex

- Charter of Fundamental Rights of the European Union (cf. Art. 6 TEU)
- 37 Protocols and 2 Annexes (cf. Art. 51 TEU)

Supplementary (non-binding): Explanations on the Charter of Fundamental Rights and 50 joint declarations.

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EU TREATIES (PRIMARY LAW)

Treaty on the Functioning of the EU (TFEU; international treaty)

- Principles (Art. 1-17), incl. some indiv. guarantees (e.g, data prot.)
- Non-discrimination and citizenship (Art. 18-25)
- The Union's internal policies and actions (Art. 26-197)
  - Establishment of the European Internal Market (Art. 26 and Art. 27 TFEU), including fundamental freedoms regarding the free movement of:
    - Goods (also: Art. 28 et seq. TFEU; Agriculture/Fisheries: Art. 38 et seq. TFEU),
    - Persons (free movement of workers/establishment; Art. 45 ff., 49 ff. TFEU),
    - Services (Art. 56 ff. TFEU), and
    - Capital (Art. 63 ff. TFEU).

    Complementary: international law Schengen Convention (1985/1990) and Schengen Protocol (No. 19).
  - Various policies, e.g, home affairs/migration, competition, currency/economic union, energy, environment, health, international trade (Art. 67 ff. TFEU)

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Important EU values and principles

Please read Art. 1-3 TEU!

Recognition of fundamental values (Art. 2 TEU)

- Respect for human dignity,
- Freedom, democracy, equality, rule of law.
  - In this regard, e.g. ECJ C-619/18 - *Commission/Poland*
- Respect for human rights
- I.e. fundamental Union rights (Art. 6 TEU in conjunction with Charter of Fundamental Rights)

EU objectives (Art. 3 TEU)

- Area of freedom, security and justice without internal borders (esp. internal market)

Limited individual authorization as a competence limit for the EU
(Art. 4(1), (2), 5(1)(1), (2) TEU)
Barriers to the exercise of competences by the EU

- Proportionality for Union measures (Art. 4 (1), 5(1)(2), (4) TEU in connection with Prot. 2)
- Subsidiarity (Art. 4(1), 5(1)(2), (3) TEU)
- Loyal cooperation (Art. 4(3), 13(2)(2) TEU)

VISION & MISSINZ FACTS & FIGURES

Institutions of the EU (Art. 13 ff. TEU, Art. 223 ff. TFEU)

EU Council

- European Council
  - Provides the Union with the necessary impetus for its development and defines the general political objectives and priorities
  - Composition: Heads of State or Government of the Member States, Presidents of the Council and the Commission; High Representative of the Union for Foreign Affairs and Security Policy
  - Meets twice every six months; consensus generally required

- Legislative and executive bodies:
  - Legislature: Council, European Parliament
  - Executive: European Commission (**EC**; legislative role limited to proposing legal acts)

- Court of Justice of the European Union (today: ECJ, GC)
- European Central Bank
- Court of Auditors

Role of institutions is also relevant, e.g., for standing and non-contractual liability

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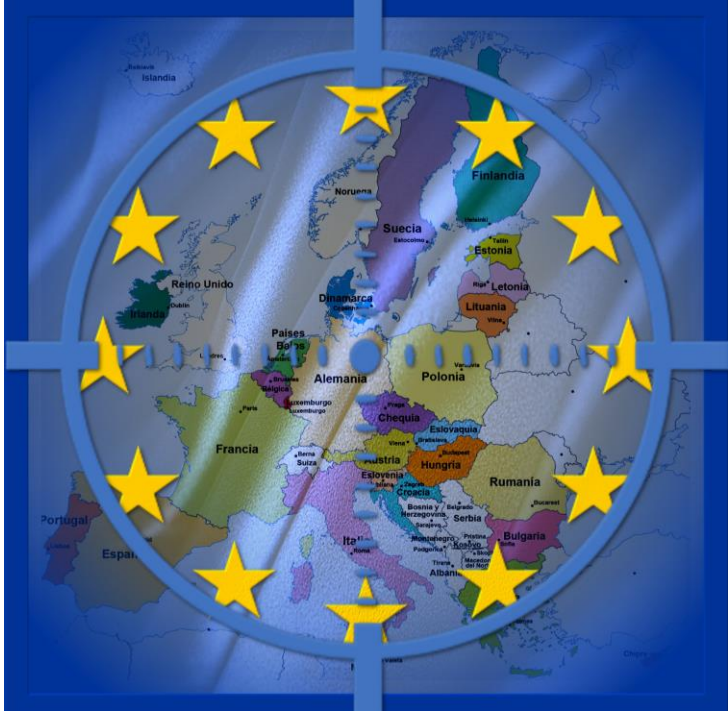
EU elections

- Citizenship of the Union (Art. 9 TEU, 20 TFEU)
  - Added to the nationality of a Member State.
  - Includes, among other things, the right to vote in European and municipal elections

- Legal basis of the election
  - EU level: Art. 14 TEU, 223 TFEU (5-year term; maximum 750 representatives, D: 96) in conjunction with. Direct Election Act (mixed legal act by Council/MS).
    - Cf. Bundestag: 736
  - Germany: European Election Act (EuWG). Pursuant to this statute, the German government determines, among others, the national election day

IMPLEMENTATION OF EU SECONDARY/TERTIARY LAW

- Obligation of the Member States
  - Mandatory regulations with external effect, to be made public. Implementation must be effective and non-discriminatory (effet utile).
- In case of non-implementation:
  - Infringement proceedings (Art. 258 TFEU).
  - Direct effect. Requirements: (1) norm is directly applicable (self-executing), (2) entitles citizens or has an objective effect, and (3) transposition deadline expired.
  - Liability of Member States
- Individual member states cannot invoke non-implementation by others (*tu quoque*)
- Pre-effect of directives in interpretation of national law
- Directive-compliant interpretation of general clauses only after entry into force of the directive; where there is transposition leeway, probably only after the end of the transposition period



Administrative enforcement

EU Commission

- EU institutions have only limited direct administrative competences, e.g., in banking supervision (ECB), competition law (EC), and regarding the imposition of antidumping duties

- Indirect implementation of EU law (via Member States)
  - Requirement to implement EU law effectively and with equivalent effect on EU citizens
  - In the case of implementation of directly applicable EU law, national procedural rules apply unless secondary law provides otherwise
  - In the case of applying rules transposing EU law, it must be assessed individually to what extent Member State law applies (largely superseded in the case of State aid recovery, arg. need to ensure effectiveness of Art. 107 ff. TFEU)

Legal protection

EU Court of Justice

- Actions for annulment brought to GC (appeal: ECJ) by privileged parties or by anyone who is directly and individually affected (Art. 263 TFEU).
  - The merits are examined comprehensively (irrespective of affectedness)
- Actions for failure to act (Art. 265 TFEU)

- Preliminary ruling by ECJ (Art. 267 TFEU)
  - Interpretation of treaties and decision on validity and interpretation of acts of all EU institutions/bodies → ECJ as final arbiter on EU law
  - Right of national courts to refer cases; obligation of courts of last instance to refer cases (except: acte clair/éclairé)

- Public liability actions (Art. 268 TFEU).

European Union fundamental rights

- Charter of Fundamental Rights (CFR) applies where EU institutions and member states to apply EU law (obligation interpreted broadly!)
  - CFR acts as a barrier to the exercise of competence (= conflicting national law inapplicable)
- Substantive coverage: similar to fundamental rights according to GG; but also e.g. right to good administration (Art. 41 GG)
- See Art 51 f. for application scope and limitations to individual rights

- Note also prohibition of sex discrimination in employee pay (Art. 157 TFEU)
  - Justification possible if there is a genuine business need and the unequal treatment is necessary. Preference can then also be given in the case of equal qualifications

European Union fundamental freedoms

- Scope of protection
  - Factual: Prohibition of discrimination and restrictions, but a cross-border reference is required.
  - Personal: fundamental freedoms bind the EU institutions and the member states. However, freedoms of movement of persons can also have direct third-party effect between private parties if an agreement is unequal due to the institutional power of one side
- Justification in case of Member State interference
  - Limits of Treaty freedoms are defined in the TFEU for each individual freedom
  - In addition, non-discriminatory interventions in cross-border economic activity may also be justified if they are undertaken for overriding reasons of general interest (ECJ 120/78 - *Cassis de Dijon*) and are necessary for that purpose

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General note:

- Preferential treatment of cross-border cases compared to national cases (discrimination against nationals) is no interference
  - But it is questionable whether interference with fundamental freedoms is suitable for the purpose pursued

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FREE MOVEMENT OF GOODS (ART. 34 FF. TFEU)

- Member State interferences
  - Direct and indirect discrimination, quantitative restrictions, and measures of equivalent effect that impede the cross-border import, export, or transit of goods.
  - Measure of equivalent effect
    - Any trade regulation of a Member State which is capable of "hindering, directly or indirectly, actually or potentially, intra-Community trade" (ECJ 8/74 - *Dassonville*).
    - However, sales regulations are only sufficient if they have a disparate impact or constitute product-related barriers to market access (= need for a "specific restriction"; not for distribution-related regulations)

- Justification:
  - In particular, Art. 36 TFEU and imperative requirements of general interest

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OTHER FUNDAMENTAL FREEDOMS

- Free Movement of Workers/Freedom of Establishment (Art. 45, 49 TFEU)
  - Free movement of workers: principles for interference similar to free movement of goods, justification similar to Art. 12 GG
  - Freedom of establishment: protection also for companies based in the EU.
  - Scope exception for "sovereign" activities (very narrow)

- Freedom to provide services (Art. 56 TFEU)
  - So-called foreign-related services provided by a national to another national via a foreign country are sufficient
  - The passive freedom is protected regardless of an economic activity and also for the service recipient moving to another member state

- Freedom of capital movements and payments (Art. 63 TFEU)
  - Protections is complementary to other freedoms (ECJ), but very broad because it covers all capital movements. Differentiation from other fundamental freedoms on the basis of a priority analysis (e.g., where Member States regulate capital market transactions)
  - Member States may take measures to prevent infringements of their tax and financial supervision laws as well as threats to public security and order (broad!). It is unclear whether there are immanent barriers based on general interests

Covered depending on course progress

THE HORIZONTAL APPLICATION OF FUNDAMENTAL RIGHTS

(EU APPROACH)

A HORIZONTAL EU SAMPLE

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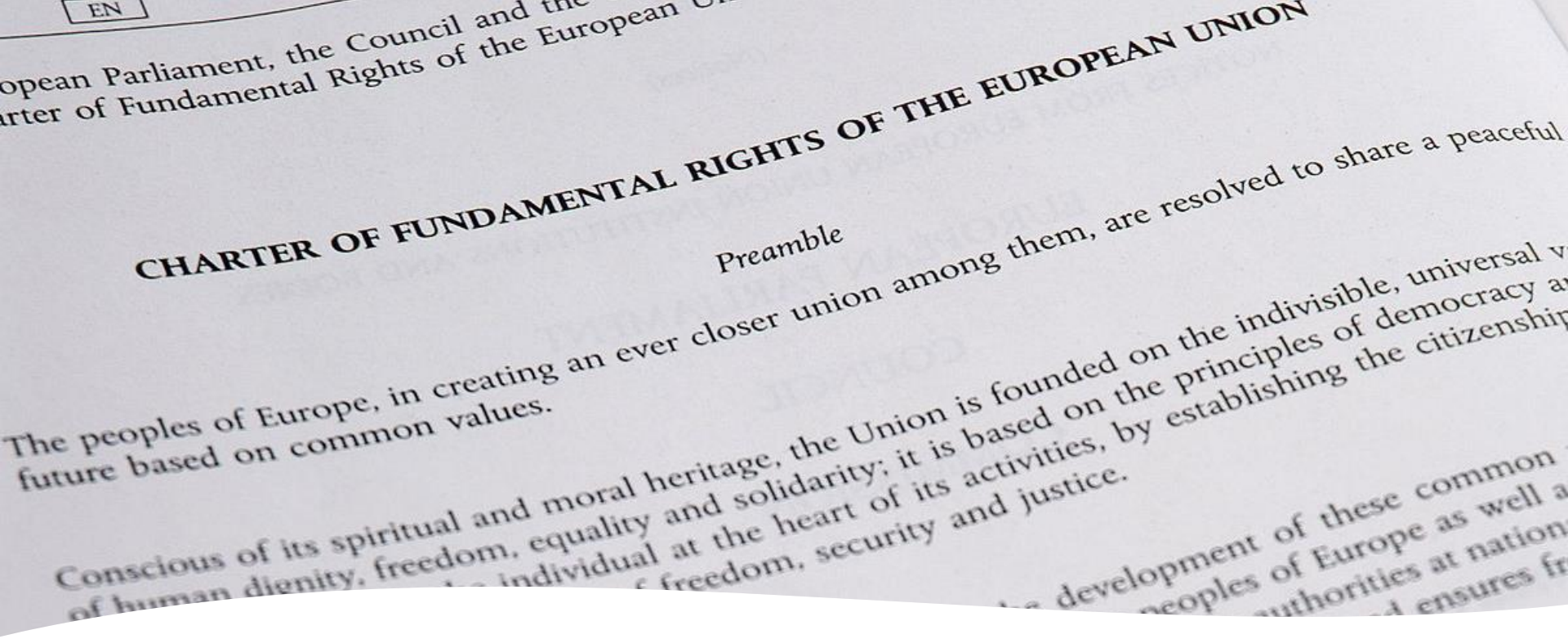
The **plaintiff** lives in a condominium in an apartment building operated by the defendant, a homeowners' association. The **defendant** decided to install a video surveillance system. This was due to several burglaries in the building. It was not considered to install a security system with an interphone system at the entrance to the building in order to restrict access to the building by third parties. The plaintiff correctly considers the owners' association to be a controller for the processing of personal data within the meaning of the European General Data Protection Regulation.

The **referring court** requests a preliminary ruling on whether the GDPR, read in the light of Artt. 7 and 8 of the Charter, must be interpreted as precluding national provisions which authorize the installation of a system of video surveillance.

Source: ECJ, Judgm. of 11 Dec. 2019, C-708/18 – *TK/Asoc. de Propr. bloc M5A-ScaraA*



HOW TO APPLY THE EU CHARTER OF FUNDAMENTAL RIGHTS

- The EU CFR applies "to the institutions, bodies, offices and agencies of the union with due regard for the principle of subsidiarity and to the member states only when they are implementing union law" (article 51(1) GRC).

- In this regard, see ECJ C-569/16 - *Bauer*, § 87:

"[...] Article 51(1) does not, however, address the question whether those individuals may, where appropriate, ***be directly required to comply with certain provisions of the charter*** *and cannot, accordingly, be interpreted as meaning that it would systematically preclude such a possibility."* (emphasis added)

→ Direct horizontal effect possible if EU CFR so provides when interpreting its individual provisions.

- **But what does this mean in the case at hand?**

ECJ JUDGMENT

The GDPR* allows for video surveillance systems if the relevant persons consent or if the measure, in terms of **proportionality**, fulfils a 'legitimate interest', e.g., the protection of the property, health and life of the co-owners of a building. It is not required that the safety of property and individuals was previously compromised.

Held: "[The GDPR], read in the light of Articles 7 and 8 of the Charter of Fundamental Rights of the European Union, must be interpreted as not precluding national provisions which authorise the installation of a video surveillance system […] without the consent of the data subjects, if the processing of personal data carried out by means of the video surveillance system at issue fulfils the conditions laid down in [the GDPR], **which it is for the referring court to determine**."

Why that last sentence?

* The actual case was decided based on a Directive which preceded the GDPR.

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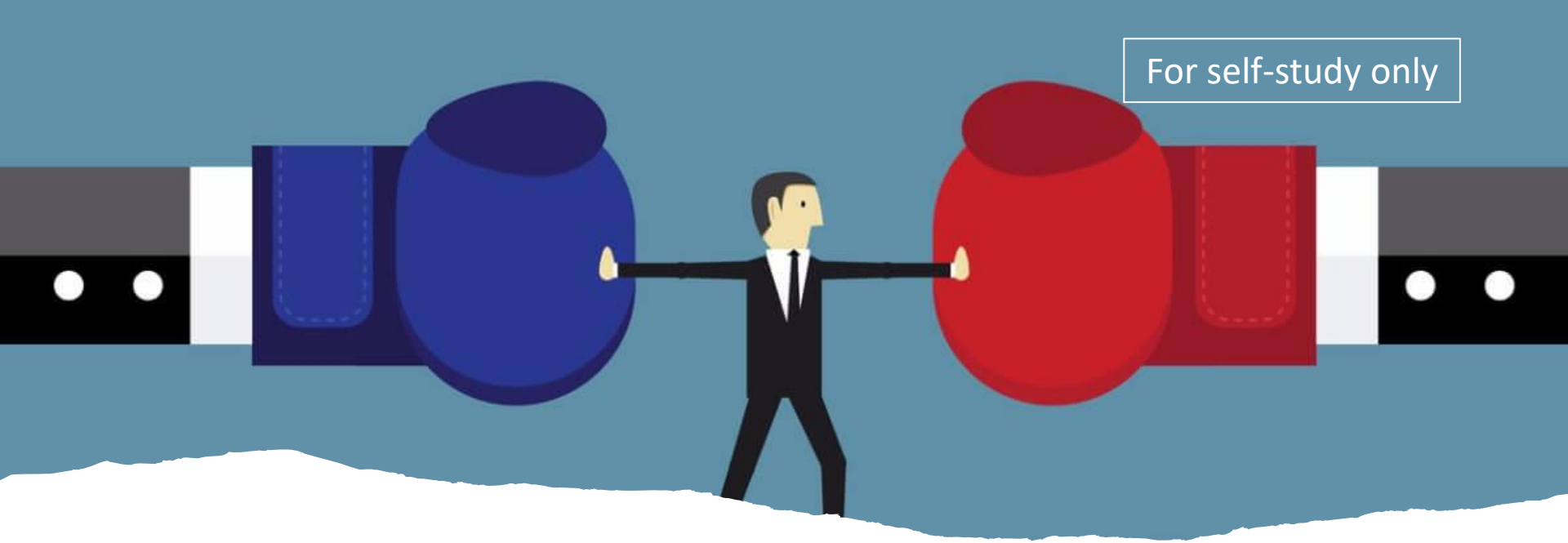

Why that last sentence?

Like the BVerfG, the ECJ acts as a court of last instance with a specific mandate. Thus, just like the BVerfG only interprets the German constitution, the ECJ **only interprets the EU law (Art. 267 TFEU)**, but it does not apply it to the individual case.

Note further that in a case like the present one, the lower court applying the law will have to **respect the norm hierarchy**. Thus, it will have to apply the GDPR in the light of the CFR. In the present case, the **application of the GDPR will be very case specific**: the GDPR mandates the lower court to **balance the relevant interests based on the proportionality principle**. The relevant interests are: the interests of privacy and personal data of the plaintiff, and the interests in health protection, etc. of the defendant home owners.

In this case, **under the proportionality principle** it may be a **problem that a less intrusive means may have been available**: it was not considered to install a security system with an interphone system at the entrance to the building.

THANK YOU FOR YOUR ATTENTION

Frankfurt School of Finance & Management gGmbH
Adickesallee 32-34
D-60322 Frankfurt am Main

Dr. Thomas Weck
Associate Professor for Public Law, Regulatory Law and Comparative Law
Phone: +49 69 154008-297
E-Mail: t.weck@fs.de
www.frankfurt-school.de

Frankfurt School

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